

Here I was, covering these new markets that had just opened up, and my immediate boss was this reserved Englishman, and his boss was a high-energy American whose natural inclination was to give her staff a lot of responsibility and leeway. When I got excited about an idea to buy some company, I would go to Rory for approval, and after talking to him for a half an hour, he would find 10 reasons not to do the trade. More often than not, the stock would then go up. We all worked in close proximity. What started happening was that Nancy would overhear the conversation and say to Rory, “That’s rubbish. Why don’t you let him do the trade?” Within a few months, Rory sort of gave up objecting to my ideas. What this meant was that about six months after joining the firm, I was running a chunk of the portfolio.

Several months later, the head of the whole global emerging markets department resigned, and Nancy was promoted to his position. That promotion meant that I was left with Rory to manage the Eastern European fund. Rory, in the meantime, was spending most of his time on an emerging market venture capital fund, which Nancy was also involved in. So 10 months after I had started with Barings, I had become the main day-to-day portfolio manager for the Eastern European fund.

Did it seem odd to you that with less than one year of experience you were in charge of running a fund?

No, it didn’t. Although I was doing the day-to-day portfolio management, I was still managing the fund with Rory. One thing that was very helpful was Rory’s resilience. He was completely unflappable. His natural reluctance to take decisive action was a virtue when there was panic in the markets. I was very new to the job. During volatile periods, when it was all going wrong, he would counsel me, “Just calm down. This is what happens.” Working with him allowed me to learn about volatility without making crass errors like selling at the lows or buying at the highs. Rory is the kind of person you would want with you in a battlefield. People would be dropping all around you, and Rory wouldn’t have a hair out of place.

What happened to your fund during the Russian financial crisis of 1998?